

Cummins 2026 Forecast: Key Insights

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Cummins' 2026 story is data center power. The forecast (version 1.1, reviewed and locked October 8, 2026) has adjusted profit rising about \$940M. More than half of that comes from Power Systems, which makes about a fifth of sales.

Where profit growth comes from

Power Systems adds \$537M, more than half of 2026 profit growth

Adjusted EBITDA, FY2025 actual to FY2026 budget (v1.1): \$5,843M to \$6,785M, up \$942M



Green adds to profit, red reduces it. Both years exclude one-off Accelerera charges.

Cummins FP&A model v1.1, locked Oct 8, 2026 · segment EBITDA excluding special items

Every business grows profit, but Power Systems adds more than the next three combined. Corporate costs and eliminations are the one drag, mostly from the first half of 2026.

Five insights

1. Data centers are now Cummins' profit engine

Power Systems sells generators, many of them backup power for data centers. In the budget it is 19% of segment sales but 31% of segment profit, with a 25.4% margin against 13% to 14% for the other segments.

What it could mean: Cummins is becoming as much a power-equipment company as a truck-engine company. It strengthens the case for adding generator capacity, but it also ties a large share of profit to how long the data center building boom lasts.

2. The year depends on the second half

First-half sales grew 6.2%. To reach the full-year budget of 10.8%, second-half sales must grow 15.5%, more than twice as fast. Management has said the same: it expects the second half to be stronger.

What it could mean: Q3 and Q4 carry the year. A weak Q3 would leave little room to stay inside guidance, so the November results matter more than usual.

3. Trucks are recovering on fundamentals; the 2027 risk is cost, not demand

Engine unit shipments rise about 10.6% to roughly 613,000, still below 2024's 632,600. Management says most of the strength comes from aging fleets and improving market fundamentals. It says the pre-buy ahead of 2027 emissions rules is smaller than once expected. FTR says that pre-buy is already complete, and analysts expect sales to grow another 8.6% in 2027.

What it could mean: A 2027 truck slump looks unlikely on today's evidence. The bigger 2027 risk is cost: management says bonus pay could reset by about \$200M if results return to target. That would come straight out of profit.

4. Wall Street expects more profit than Cummins has guided

The budget's full-year margin is 18.2%, inside Cummins' 18.0% to 18.5% guidance. Analysts are higher. Their Q3 earnings estimate of \$8.40 a share is 10% above the budget's \$7.53. Working that estimate back through taxes, interest and depreciation implies a Q3 margin near 19.5%, above the top of the company's own range.

What it could mean: Results that simply match guidance could still read as a disappointment to investors. Q3 margin is the number to watch. The gap depends on assumptions about the tax rate and on how analysts treat one-off items, so treat it as a question to test, not a certainty.

5. Exiting hydrogen projects is a quiet tailwind

Accelera, the zero-emissions unit, shrinks after Cummins exited electrolyzers and sold its fuel cell business. Its sales fall to about \$377M, inside the \$350M to \$400M guidance. Its adjusted losses shrink by about \$161M, the same profit boost the whole Engine business adds.

What it could mean: Fewer losses free up cash for dividends, buybacks and generator capacity. It also signals Cummins is pacing its zero-emissions spending to where demand is real.

Scenarios: what if demand surprises?

A bad second half would push Cummins below its sales target; a good one would beat it. The scenarios change second-half growth and margins only, because the first half is already reported. Their size comes from the model's own backtest: this method has missed a single business by up to 7.6%, so each case moves demand by about that much, in both directions.

Scenario	What changes in H2 2026	FY2026 sales	Sales growth	Adjusted EBITDA	Margin	Hits both targets?
Bear	Truck growth 8 pts lower, data center 7 pts lower, margins 0.5 pt lower	\$36.1B	+7.1%	\$6.43B	17.8%	No
Base	The locked budget (v1.1)	\$37.3B	+10.8%	\$6.79B	18.2%	Yes
Bull	Truck growth 8 pts higher, data center 7 pts higher, margins 0.5 pt higher	\$38.6B	+14.5%	\$7.16B	18.6%	Yes

The bear case costs about \$355M of profit and the bull case adds about \$370M. Sales are the more fragile target: a miss of this size takes growth well below the 10% floor, while the margin stays within a few tenths of guidance. You can test your own case with the scenario picker on the workbook's Dashboard tab.

What to watch when Cummins reports Q3 2026

These seven numbers will show quickly whether the forecast's story holds. Given past misses, anything within about 2% on total sales counts as on target.

Metric	Q3 budget (v1.1)	Wall Street	Why it matters
Net sales	\$9.48B	\$9.84B	Tests the second-half ramp (insight 2)
Adjusted EBITDA margin	18.6%	About 19.5% implied	Tests whether the Street's optimism is right (insight 4)
Earnings per share	\$7.53	\$8.40	Same question, after tax
Power Systems sales and margin	\$2.36B at 24.0%	Not available	Tests data center demand (insight 1)
Engine unit shipments	151,300	Not available	Tests the truck recovery (insight 3)
Distribution sales	\$3.52B	Not available	Second read on generator demand
Full-year guidance	Sales +10% to +13%; margin 18.0% to 18.5%	n/a	A raise or cut changes the Q4 forecast

Also listen for management's first comments on 2027, especially bonus costs and truck demand once the pre-buy is over.

Sources

Forecast figures come from the Cummins FP&A Forecast and Variance Model, version 1.1 (locked October 8, 2026). Other figures come from:

- [Cummins Q2 2026 earnings release, 8-K Exhibit 99 \(August 4, 2026\)](#)
- [Cummins Q2 2026 earnings call transcript \(segment guidance, pre-buy, bonus pay\)](#)
- [Cummins Q4 and full-year 2025 earnings release, 8-K Exhibit 99 \(February 5, 2026\)](#)
- [Cummins Q3 2025 earnings release, 8-K Exhibit 99 \(November 6, 2025\)](#)
- [Yahoo Finance: Cummins analyst estimates \(accessed October 8, 2026\)](#)
- [Transport Topics: September 2026 Class 8 orders and EPA 2027 pre-buy](#)